The validity of Homo economicus has been the subject of much debate since the model's introduction. As was shown in the previous chapter, those who challenge Homo economicus do so by attacking the basic assumptions of perfect information, perfect rationality, and perfect self-interest. Economists Thorstein Veblen, John Maynard Keynes, and many others criticize Homo economicus, contending that no human can be fully informed of "all circumstances and maximize his expected utility by determining his complete, reflexive, transitive, and continuous preferences over alternative bundles of consumption goods at all times."[3] They posit, instead, "bounded rationality," which relaxes the assumptions of standard expected utility theory in order to more realistically represent human economic decision making. Bounded rationality assumes that individuals' choices are rational but subject to limitations of knowledge and cognitive capacity. Bounded rationality is concerned with ways in which final decisions are shaped by the decision-making process itself.

Some psychological researchers argue that Homo economicus disregards inner conflicts that real people face. For instance, Homo economicus does not account for the fact that people have difficulty prioritizing short-term versus long-term goals (e.g., spending versus saving) or reconciling inconsistencies between individual goals and societal values. Such conflicts, these researchers argue, can lead to "irrational" behavior.

MODERN BEHAVIORAL FINANCE

By the early twentieth century, neoclassical economics had largely displaced psychology as an influence in economic discourse. In the 1930s and 1950s, however, a number of important events laid the groundwork for the renaissance of behavioral economics. First, the growing field of *experimental economics* examined theories of individual choice, questioning the theoretical underpinnings of Homo economicus. Some very useful early experiments generated insights that would later inspire key elements of contemporary behavioral finance.

Twentieth-Century Experimental Economics: Modeling Individual Choice

In order to understand why economists began experimenting with actual people to assess the validity of rational economic theories, it is necessary to understand *indifference curves*. The aim of indifference curve analysis is to demonstrate, mathematically, the basis on which a rational consumer substitutes certain quantities of one good for another. One classic example